

CASE QUESTIONS

- 1. Who prevails and why? Name a case from this chapter that supports your answer.
- 2. If Jerry Schuster changed the name of the business but still used the tools he inherited, how would that impact your analysis?
- 3. As an ethical matter, should a son honor the commitments of his father in these circumstances?

CASE SUMMARY 27.2: Nazi v. Jerry's Oil Co. (Tenn. Ct. App. 2014)

Proprietor Liability

In 2007, John Nazi executed a security agreement on behalf of the Hamby Poddler in favor of Jerry's Oil. On the security agreement, John Nazi signed his name, but thereunder indicated that his title was "Manager." A few days later, on April 2, 2007, John Nazi executed a fuel supply agreement. The alleged breach of this agreement is the central issue in this case. The fuel supply agreement required the "Retailer" to pay Jerry's Oil for various obligations under the contract. The Retailer was defined by the contract as the Hamby Poddler. On the signature block at the conclusion of the document, John Nazi signed the agreement by only signing "John Nazi." Although the fuel supply agreement included a space for the signatory to designate their title, this space went blank by John Nazi. Further, on April 20, 2007, John Nazi also executed a promissory note in favor of Jerry's Oil. The promissory note specifically identified John Nazi "doing business as" the Hamby Poddler, without any designation of title.

CASE QUESTIONS

- 1. Is Nazi a sole proprietor or a manager?
- 2. Is Nazi personally liable for the amounts under the promissory note? Why or why not?

CASE SUMMARY 27.3: Clayton v. Planet Travel Holdings, Inc., 988 N.E.2d 1110 (Ill. App. Ct. 2013)

Proprietor Liability

Clayton is a customer who brought an action against Planet Travel for violation of the state consumer protection law and breach of contract. Planet was operating Planet Travel as a sole proprietorship during the time of the violations, and Clayton sued Planet Travel under the state law. Planet delayed the matter from proceeding to trial for nearly three years and eventually incorporated a new entity for Planet Travel.

CASE SUMMARY 27.1: Vernon v. Schuster, 688 N.E.2d 1172 (Ill. 1997)

Termination of Sole Proprietorship

James Schuster, a sole proprietor doing business as Diversoy Heating and Plumbing, contracted with Vernon to install and maintain a boiler in his building. Schuster also promised Vernon a 10-year warranty, and the parties agreed to a long-term service agreement whereby Schuster was to perform an annual prewinter inspection of the boiler and render any service needed for repairs. Schuster performed the services for a period of six years. He died in October 1993 before performing the prewinter inspection on Vernon's boiler. After Schuster died, his son Jerry Schuster began to operate Diversoy and serve Diversoy customers. Vernon sued James Schuster's estate in 1994, claiming that Vernon was entitled to the warranty because James Schuster had promised it. Vernon also claimed that Vernon was responsible for the boiler's problems because James Schuster had promised to honor a warranty provided by a predecessor business. The trial court dismissed most of the lawsuit, holding that Jerry Schuster could not be held liable for the obligations of his father's sole proprietorship interest.

CASE QUESTIONS

1. Is Fainter liable under the consumer protection law as a sole proprietor? Why or why not?
2. Does that fact that Fainter incorporated his business after the violation have any impact on your analysis?

CASE SUMMARY 27.4: England v. Simmons, 757 S.E.2d 111 (Ga. 2014)

Proprietor Interest

Hage died in December 2006. Three months earlier, Hage had made a will in which he left his "personal assets" to his brother and sister, and in which he left his "business interests, both tangible and intangible, real or personal, connected to the business known as Traditional Fine Art, Ltd." to his brother, sister, and two longtime employees. After Hage died, questions arose about the disposition of property associated with Traditional Fine Art, Ltd., insofar as Traditional Fine Art was a sole proprietorship and, therefore, had no legal existence separate and apart from Hage himself. The will was admitted to probate, and Sharon Hage-England—Hage's sister—was appointed as executrix of his estate. England failed to distribute any property to James S. Simmons and Eley Stinson—the two longtime employees—and they filed this lawsuit against England, seeking a declaratory judgment as to the meaning of the will with respect to the property associated with Traditional Fine Art.

CASE QUESTIONS

1. Who prevails and why?
2. Can Hage pass the assets of Traditional Fine Art through his will? Why or why not?